it was left to the managing agencies to fill the void. ‘The immediate and perhaps the most outstanding and permanent achievement of these banks was the introduction of a note circulation in this country.’[4]

The Bengal Bank and the General Bank of India were established around 1785. The former failed in 1791 owing largely to the panic of war with Tipu Sultan. The latter was voluntarily liquidated in 1793 when it failed to earn profits. These banks were chartered by the East India Company and were followed by banks established under Acts of the Indian Legislature. The latter may be divided into two groups, the first consisting of the three Presidency Banks, and the second, the Indian joint-stock banks. By 1829–30 ‘the Agency Houses had stumbled into their final crisis.’[5] Among those that failed were Alexander and Co., Colin and Co., Fergusson and Co., Palmer and Co., and Mackintosh and Co. Seven or eight of these alone were reported to have lost £15 million and with them were dragged into insolvency the associated banks as well. Between this crisis and 1860, only twelve banks were launched (all with European management), half of which failed. Some were mere frauds and others failed due to imprudent investment in industries.

The Presidency Banks

The most important institutional gain of this period was the emergence of the three Presidency banks destined to play an important role in Indian banking. From the early days of banking, there was a vision of one great ‘State Bank’ or ‘General Bank’ and many of the joint-stock banks which were set up were frequently inspired by such ideas. The need for establishing a modern bank was felt during the reign of Charles II, when a decision was taken in 1683 and conveyed to the Company in Madras to raise capital and accept deposits from the public. However, nothing came of it. Next, the Government Bank of Bombay was set up in December 1720 and closed in 1770. In 1773, Warren Hastings revived the idea and started the General Bank of Bengal and Bahar but this was aborted by some of his colleagues. The Court of Directors reiterated their opposition in 1787 by prohibiting the Indian government from extending their support to banking institutions. It was only in 1806 that the government resolved to support the Accountant General of Bengal, Henry St George Tucker’s scheme, and